

3. STRATEGY

Societe Generale identifies that physical and transition risks do not represent a major risk on a 5-year horizon. However, such risks could impact materially in the long-term. Likewise, the Group has identified a range of climate-related opportunities for a variety of sectors, financial products and geographies. Over the years, this has led the Group to define a climate strategy articulated around three axes:

- Managing climate-related risks (transition and physical);
- Seizing climate-related opportunities and supporting Societe Generale's clients; and
- Managing the bank's impact on climate (via its own activities and that of the clients it finances).

To deliver this strategy, the Group has developed in-depth environmental expertise across the whole value chain: from research and advisory, to financing and capital markets, as well as investor solutions and services. Finally, the Bank has started shifting its capital allocation towards greener sources of energy and away from the most emission-intensive ones; i.e. more renewables and less coal.

3.1. Climate-related risks identified

3.1.1 Risk terminology used

Financial risks from climate change arise from three primary channels or 'risk factors': transition, physical and liability risks

- **Transition risks:** Transitioning to a lower-carbon economy may entail extensive policy, legal, technology, and market changes to address mitigation and adaptation requirements related to climate change. Depending on the nature, speed, and focus of these changes, transition risks may pose varying levels of financial and reputational risk to organizations.⁶
- **Physical risks:** Physical risks resulting from climate change can be event driven (acute) or longer-term shifts (chronic) in climate patterns. Physical risks may have financial implications for organizations, such as direct damage to assets and indirect impacts from supply chain disruption. Organizations' financial performance may also be affected by changes in water availability, sourcing, and quality; food security; and extreme temperature changes affecting organizations' premises, operations, supply chain, transport needs, and employee safety.
- **Liability risks:** These risks can arise if parties who have suffered losses from physical and transition risk factors seek to recover these losses from those they view as responsible. Specific mechanisms include a failure to disclose financial risks, a failure to adapt to their foreseeable nature, and a failure to take the short-term action required to mitigate future financial risks⁷.

3.1.2 Time horizons being considered

Societe Generale considers short- and medium-term for credit horizons that range between 1 and 5 years. Longer term horizon Societe Generale considers extend to 2040 typically, sometimes 2050 when assessing climate-related risks and opportunity. Even if these horizons do not match Societe Generale's immediate decision-making, they may have an influence on Societe Generale's long-term strategy.

⁶ TCFD (2017) Recommendations of the Task Force on Climate-related Financial Disclosure <https://www.fsb-tcfd.org/wp-content/uploads/2017/06/FINAL-TCFD-Report-062817.pdf>

⁷ Bank of England (2018) Transition in thinking: The impact of climate change on the UK banking sector <https://www.bankofengland.co.uk/-/media/boe/files/prudential-regulation/report/transition-in-thinking-the-impact-of-climate-change-on-the-uk-banking-sector.pdf>